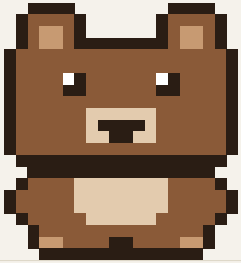
ROMA TRE · A.Y. 2026/27

Policy Evaluation Lab

Special session: Where does evidence enter the budget? The spending cycle in the EU and Italy



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Where we are, and why today is different

- So far we asked one question: **did the grant work?** Potential outcomes (Lectures 1–2), regression (Lecture 3), experiments (Lectures 4–5)
- Today we ask the question that comes next: **who uses the answer, and when?**
- A one-off session: it does not advance the syllabus and it is not part of the exam programme

Today:

1. the budget as a **policy cycle**: where evaluation can enter
2. the **EU** rules that now frame every Italian budget
3. the **Italian** calendar and its evaluation tools
4. why evidence so rarely reaches budget decisions, and a group exercise

A puzzle

Italy has run spending reviews since **2012**. From 2018 they are built into the budget law: each ministry gets a savings target and must say how it will meet it

THE STATE GENERAL ACCOUNTING OFFICE (RGS) LOOKED BACK AT HEALTH AND JUSTICE, 2018–2020

- The savings targets were met in almost every case
- But the review was done **"at the margin"**: it failed its main goal, discussing **existing** spending
- The ministries showed little capacity to review their own policies

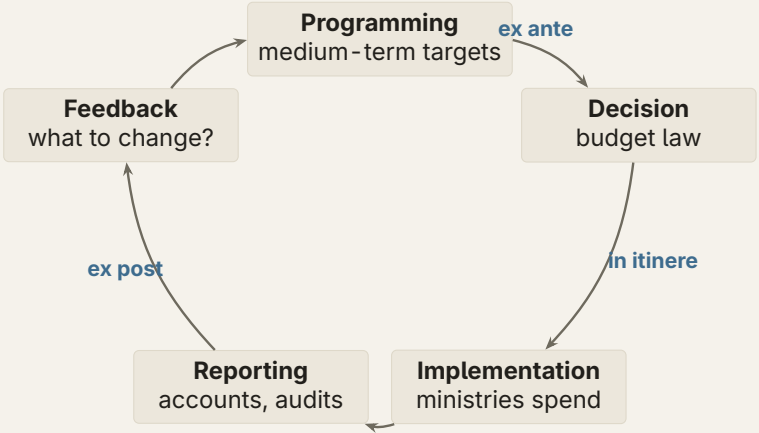
Targets met, nothing reviewed. How is that possible?

PART 1

The budget as a policy cycle



The budget cycle is a policy cycle



Three moments of evaluation

Moment	Question	Typical tools
Ex ante	What will it cost, what could it achieve?	appraisal, cost-benefit analysis, impact assessment of new rules, simulation models
In itinere	Is it being delivered as planned?	monitoring, output indicators, milestones and targets
Ex post	**Did it work?** Compared with what?	counterfactual evaluation: experiments, matching, DiD, IV, RDD, synthetic control

Our course lives in the last row. Only the last row answers the question with a **counterfactual**: what would have happened without the programme (Lecture 1)

PART 2

The EU layer

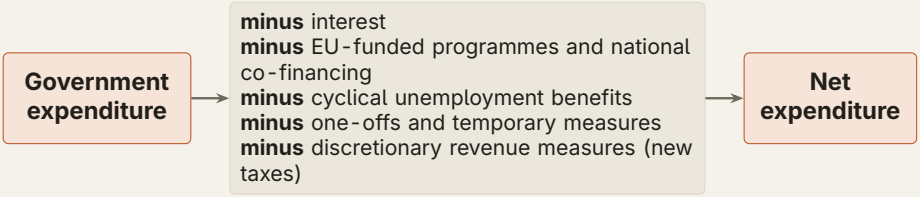


What changed in 2024

	Before	Since 2024
What is targeted	several indicators (structural balance, expenditure benchmark, debt-reduction rule)	**one**: the growth of **net expenditure**
Time horizon	an annual stability programme	a **4- or 5-year** national plan, plus an annual progress report
How tight	the same rules for every country	a **country-specific** path, from a debt sustainability analysis
Room for reforms	limited	the adjustment can last **4 years, or up to 7** with reforms and investments

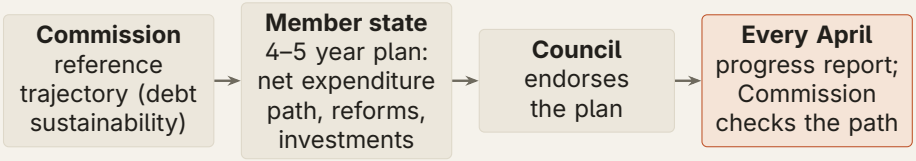
In force since **30 April 2024**: one regulation for prevention, one for the excessive deficit procedure, one directive on national budget frameworks

One number to watch: net expenditure



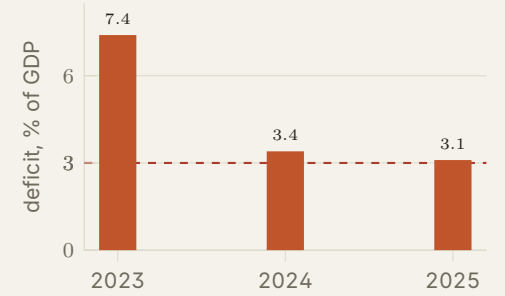
- It is what the government **controls**: not the interest bill, not the business cycle
- The plan sets a **ceiling on its growth**, year by year
- A new programme must be paid for by **cutting another one** or by **raising taxes**: spending has to compete with spending

How a national plan works



- **Adjustment**: 4 years, extendable **up to 7** if the country commits to reforms and investments
- **Safeguards**: debt must keep falling (by at least 1 point of GDP a year while above 90%); deficits must build a margin below 3%
- **Escape clauses**: a general one for a severe EU-wide downturn; a **national** one for exceptional events outside the government's control, with a time limit set by the Council

Italy: a live case



2023 as known when the procedure was opened (since revised to 7.1). Sources: Council, ISTAT.

- **July 2024**: excessive deficit procedure opened
- **Plan 2025–2029**: 7-year adjustment, endorsed by the Council in January 2025
- **2025**: deficit at 3.1% of GDP, just above the line
- **June 2026**: procedure “held in abeyance”: effective action, but not yet closed
- **Exit**: possible in **2027** at the earliest, on 2026 data

What the EU layer means for evaluation

- A **multi-year ceiling** on net expenditure turns the budget into a reallocation problem: more for one programme means less for another, or new taxes
- The extension to 7 years is bought with **reforms and investments**: someone has to show they are delivered (in itinere) and that they work (ex post)
- Since 2025 the directive requires an **independent fiscal institution** in every member state: a natural user of evaluations

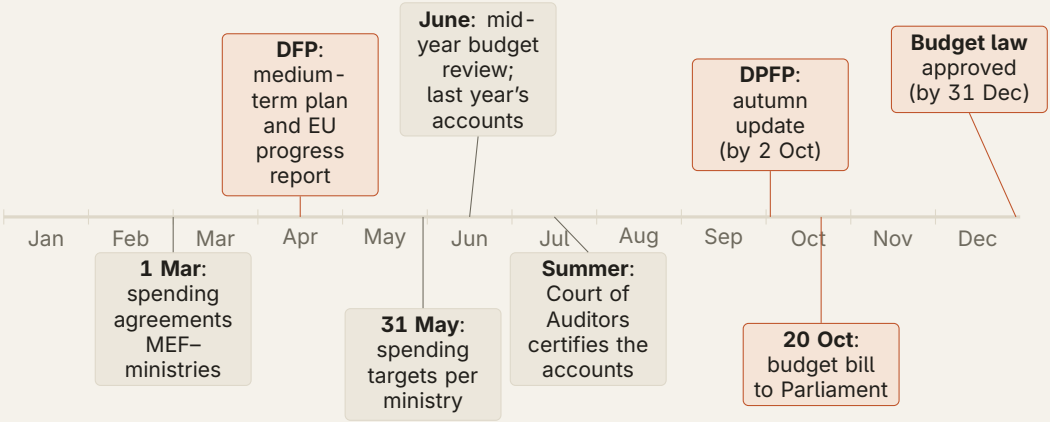
> The rules say **how much** can be spent. They say nothing about **what works**: that is our job

PART 3

The Italian layer



The Italian budget calendar

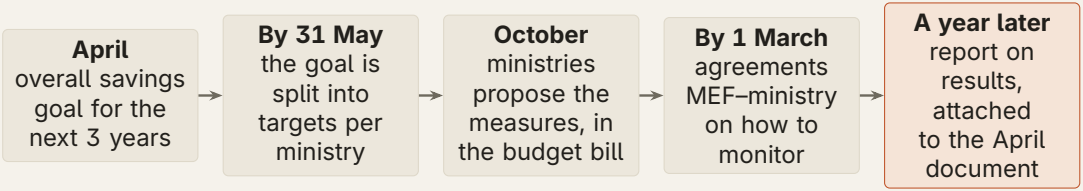


Where evaluation sits inside the Italian cycle

Tool	Moment	What it does
Spending review in the budget law	decision, feedback	savings targets per ministry, agreed measures, yearly report on results
Performance information	programming, reporting	each ministry lists objectives and **indicators** for its programmes, and reports how far they were reached
Regulatory impact assessment	ex ante, ex post	analysis of new rules before adoption (AIR) and check of their effects afterwards (VIR)
Parliamentary Budget Office (UPB)	programming	independent: validates the government's forecasts, checks the fiscal rules
Court of Auditors	reporting	certifies the accounts; audits how programmes are managed

What is missing from the last column: **did the programme work, compared with what?**

The spending review, step by step



THE 2023–2025 ROUND

Savings asked of the ministries: **0.8 billion euro in 2023, 1.2 billion in 2024, 1.5 billion in 2025**. Targets are set in **euros saved**, not in results achieved

The PNRR pushed the spending review further

- **Reform 1.13** of Italy's recovery plan: "strengthen the analysis and evaluation of spending **inside** the budget cycle"
- What it delivered: a scientific committee and a unit at the Ministry of Economy, savings targets for 2023–2025, an assessment of past reviews (our puzzle), guidelines for ministries, annual reports
- The same reform is one of the commitments that earned Italy a **7-year** adjustment under the new EU rules
- But the Council noted that no specific targets for future spending reviews had been set

> Reform 1.13 built the **procedure**. It did not, by itself, put counterfactual evidence into it

PART 4

Why evidence rarely reaches the budget



Linear cuts versus evidence-based reallocation

LINEAR CUTS

- the same percentage off every programme
- fast, easy to negotiate, easy to verify
- treats the programme that works like the one that does not
- savings often come back later as arrears or “unexpected” needs

EVIDENCE-BASED REALLOCATION

- cut what does not work, fund what does
- needs a **counterfactual** for each programme
- slow: results arrive years after the money is spent
- creates losers who can be named, so it is politically costly

Outputs are not outcomes

Input	Output	Outcome (needs a counterfactual)
euros for nursery places	places created	did mothers' employment rise **because of** them?
euros for investment grants	firms funded, projects completed	did funded firms invest more **than they would have anyway**?
euros for training	courses delivered, participants	did participants find jobs **because of** the course?

A real case: the PNRR nursery investment is measured by a target of at least **150,480 new places**, an **output**. Whether they raise mothers' employment is an **outcome** that no milestone measures

Why counterfactual evaluation rarely reaches budget decisions

- **Timing**: the budget is decided every autumn; a credible ex post evaluation needs data that arrive two or three years later
- **Design**: most programmes are not designed to be evaluated. No lottery, no clear eligibility threshold, no data on non-recipients
- **Data**: administrative data exist, but are spread across agencies and hard to link
- **Power**: many evaluations are too small. “No significant effect” is then read as “no effect” and the programme is cut, or as “inconclusive” and it is kept (Lecture 5)
- **Incentives**: a ministry gains little from showing that its own programme does not work

Back to the puzzle

- The targets were **euros**, not results: the easiest euros to find are at the margin, in programmes nobody defends
- Existing spending was never put against a **counterfactual**: nobody asked what each programme achieves compared with not having it
- Ministries lacked the **capacity** (people, data, evaluation plans) to do more than accounting cuts
- And the calendar left no time: targets in May, measures in October, results a year later

> A spending review without evaluation is just a **cut**. Evaluation is what turns a cut into a **choice**

How others do it: the Netherlands

- **Interdepartmental policy reviews** (IBO): independent studies of a policy problem with a budgetary challenge, run by officials from several ministries with an independent chair
- Every review must work out at least one **savings option of 10 to 20%**: "comply or explain"
- Since 2022, each ministry keeps a **multi-year evaluation agenda** covering ex ante, in itinere and ex post evaluations

> **THE LESSON**
>
> The savings option forces the question we never asked in Italy: **what would we lose** if this programme were 20% smaller?

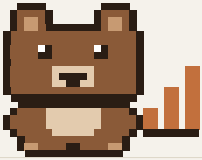
How others do it: the United Kingdom

Tool	Moment	What it is
Spending Review	decision	multi-year budgets for every department; the 2025 review set day-to-day budgets to 2028–29
Green Book	ex ante	how to appraise options: costs, benefits and risks, before deciding
Magenta Book	ex post	how to evaluate: from monitoring to counterfactual impact evaluation

The Magenta Book states that evaluation exists to inform **future spending decisions**: the loop of our cycle diagram, written into official guidance

PART 5

Group exercise



Group exercise (20 minutes)

1. Groups of 3–4. Each group picks one programme from the next slide
2. Fill in the five boxes of the template: **outcome, counterfactual, data, identification, budget hook**
3. Use the methods of the course: what we have seen (regression, experiments) and what is coming (matching, DiD, IV, RDD, synthetic control)
4. Two minutes per group to report back

THE QUESTION TO ANSWER

If this programme came up in next year's spending review, what evidence would you want, and **when** would it have to be ready?

Five real Italian programmes

- **Law 488/1992**: capital grants for productive investment in lagging areas, mainly the South, allocated by **ranking** applicants
- **SME Guarantee Fund**: a public guarantee on bank loans to small and medium-sized firms
- **Transizione 4.0**: tax credits for firms buying new capital goods, introduced in 2020 and later narrowed
- **Single universal child allowance** (assegno unico): a monthly benefit per dependent child, scaled by family means, since March 2022
- **PNRR nurseries**: new childcare places, with a target of at least 150,480 places

> **HINTS**
>
> Is there a **ranking or threshold**? A **start date** that differs across places or firms? Applicants who were **rejected**? A group that could **never** receive it?

The template

Outcome	What should change if the programme works? Measured how, after how long?
Counterfactual	Who are the comparison units, and why would they have behaved like the treated without the programme?
Data	Which administrative or survey data? Do we observe the **non**-recipients too?
Identification	Which method from the course, and its key assumption (random assignment, parallel trends, no manipulation at the threshold…)
Budget hook	Which document, which month: April plan, May targets, October budget bill? What decision would the result change?

Bonus: is the sample large enough? A rough **MDE** (Lecture 5) tells you whether a "no effect" would mean anything

A worked example: Law 488/1992

Outcome	investment by the firm, then sales and employment, 2–4 years after the grant
Counterfactual	applicants that were ranked but **not funded**: they wanted to invest too, unlike non-applicants (Alfa and Beta, Lecture 2)
Data	the agency's application files linked to firms' balance sheets
Identification	DiD, funded vs rejected applicants (Bronzini and de Blasio, 2006; week 5), or RDD around the funding cut-off of each ranking (Cerqua and Pellegrini, 2014; week 8)
Budget hook	before the programme is refinanced: results ready for the April plan, so they can shape the next budget bill

What the studies found: subsidised firms invested more while funded, but part of it was investment brought forward from later years. That is the kind of result a spending review needs

PART 6

Wrap-up

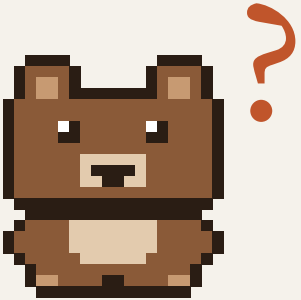


Three take-aways

1. The budget is a **policy cycle**: evidence can enter ex ante, in itinere and ex post, but only ex post evaluation with a counterfactual says whether a programme **worked**
2. The EU rules now cap **net expenditure** over several years: within a ceiling, every euro has to compete with every other euro, and that is exactly when evidence matters
3. Italy has the **tools** (spending review in the budget law, performance indicators, independent fiscal institutions), but the loop from evaluation to budget is rarely closed. The cheapest fix is **design**: decide how a programme will be evaluated before the money is spent

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Questions?

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